

CV-24-007318 TOPETE, JAIME vs AMERICAN HONDA MOTOR CO INC – Defendant American Honda Motor Co., Inc’s Motion for Relief Under CCP 473(b) – DENIED.

County: stanislaus

Division: Civil Law and Motion

Department: 24

Hearing date: 2012-04-02

Motion: Defendant has not met its burden to establish entitlement to discretionary relief under Code of Civil Procedure section 473(b). Although Defendant characterizes the \$79,644.83 settlement amount in the accepted section 998 offer as an inadvertent drafting error, Defendant admits that no specific monetary figure was discussed or agreed upon before the offer was served. The written section 998 offer drafted and served by Defendant was accepted by Plaintiffs on December 30, 2025. Defendant’s showing does not include contemporaneous documentation establishing that \$39,822.41 was the authorized or agreed amount before the offer was served. While Defendant’s motion is timely filed, relative to Defendant’s claim that the erroneous offer was discovered shortly after Plaintiff’s December 30, 2025, acceptance, Defendant has not shown timely action in revoking the offer. The record contains competing evidence concerning when Defendant first advised Plaintiffs that it intended to vacate the settlement. Plaintiffs’ evidence includes an April 16, 2026, email referencing a March 19, 2026, discussion regarding vacating the settlement, while the written record also shows post-acceptance communications concerning settlement performance and vehicle surrender up until April 15, 2026. On this record, Defendant has not established reasonable diligence. “Where the mistake is excusable and the party seeking relief has been diligent, courts have often granted relief pursuant to the discretionary relief provision of section 473 if no prejudice to the opposing party will ensue.” *Zamora v. Clayborn Contracting Group, Inc.* (2002), 28 Cal.4th 249,258. Plaintiffs assert a loss of their prevailing party status and their related entitlement to attorney fees on the motion they have filed in that regard. No such motion presently appears on the court files. Plaintiffs are prejudiced by a forfeiture of their March 2026, trial date and a return of this matter to calendar for trial under circumstances where Plaintiffs had been given the impression that the case was settled. Defendant has also not established grounds for rescission under Civil Code section 1689(b). Civil Code section 1689(b) permits rescission when consent was given by mistake. However, where the plaintiff has no reason to know of and does not cause the defendant’s unilateral mistake of fact, the defendant must establish the following facts to obtain rescission of the contract: (1) that defendant made a mistake regarding a basic assumption upon which the defendant made the contract, (2) that the mistake has a material effect upon the agreed exchange of performances that is adverse to the defendant, (3) that the defendant does not bear the risk of the mistake, and (4) the effect of the mistake is such that enforcement of the contract would be unconscionable. *Donovan v. RRL Corp.* (2001) 26 Cal.4th 261 as modified (Sept. 12, 2001). The alleged mistake concerns a monetary term selected and inserted by Defendant in its own statutory offer. Defendant has not shown that Plaintiffs caused or knew of the alleged mistake, that Defendant did not bear the risk of the mistake, or that enforcement would be unconscionable. *Donovan v. RRL Corp.* (2001) 26 Cal.4th 261 as modified (Sept. 12, 2001); *Reed v. Williamson* (1960) 185 Cal.App.2d 244; Civ. Code, § 1654; *Westmoreland v. Kindercare Education LLC* (2023) 90 Cal.App.5th 967. Notably, Plaintiff’s sued for rescission of the vehicle purchase contract and for damages as well as a double civil penalty. Plaintiffs argue that Defendant’s section 998 offer essentially provided for a statutory repurchase and a one-time civil penalty ahead of a looming trial date is not unheard of and Defendant’s do not dispute this. Finally, in reforming a written agreement, a court may transpose, reject, or supply words, but has no power to make new contracts for the parties; rather, the court may only reform the writing to conform with the mutual understanding of the parties at the time they entered into it, if such an understanding exists. (*Hess v. Ford Motor Co.* (2002) 27 Cal.4th 516). Defendants have not demonstrated that the parties had an understanding regarding Defendant’s revised section 998 offer. Therefore, the Court declines to substitute Defendant’s June 15, 2026, revised section 998 offer for the accepted December 29, 2025, offer, as Plaintiffs did not accept the revised offer. Accordingly, Defendant’s motion is denied.

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Defendant has also not established grounds for rescission under Civil Code section 1689(b). Civil Code section 1689(b) permits rescission when consent was given by mistake. However, where the plaintiff has no reason to know of and does not cause the defendant's unilateral mistake of fact, the defendant must establish the following facts to obtain rescission of the contract: (1) that defendant made a mistake regarding a basic assumption upon which the defendant made the contract, (2) that the mistake has a material effect upon the agreed exchange of performances that is adverse to the defendant, (3) that the defendant does not bear the risk of the mistake, and (4) the effect of the mistake is such that enforcement of the contract would be unconscionable. *Donovan v. RRL Corp.* (2001) 26 Cal.4th 261 as modified (Sept. 12, 2001).

The alleged mistake concerns a monetary term selected and inserted by Defendant in its own statutory offer. Defendant has not shown that Plaintiffs caused or knew of the alleged mistake, that Defendant did not bear the risk of the mistake, or that enforcement would be unconscionable. *Donovan v. RRL Corp.* (2001) 26 Cal.4th 261 as modified (Sept. 12, 2001); *Reed v. Williamson* (1960) 185 Cal.App.2d 244; Civ. Code, § 1654; *Westmoreland v. Kindercare Education LLC* (2023) 90 Cal.App.5th 967. Notably, Plaintiff's sued for rescission of the vehicle purchase contract and for damages as well as a double civil penalty. Plaintiffs argue that Defendant's section 998 offer essentially provided for a statutory repurchase and a one-time civil penalty ahead of a looming trial date is not unheard of and Defendant's do not dispute this.

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Accordingly, Defendant's motion is denied.